



was more out of a sense of obligation. But today, focus on rural market is making great business sense for more and more insurers. Among those rushing to capture the new segment are Aviva, Bharati Axa, Bajaj Allianz, ICICI Prudential, Kotak Life and Tata AIG.

Realising the potential of the rural market, these companies are commissioning surveys on consumer needs, setting up business units and deploying dedicated teams to cater to the new requirements. Says Analjit Singh, chairman, Max New York Life, "We believe rural India holds tremendous

Powered by women, TATA AIG's Rural Community Insurance Groups connect with people by travelling around in company vans which also double up as collection centres.

potential and it is our vision to be able to offer protection to every socio-economic segment here." Rohtash Mal, executive director and CEO, Escorts Agri Machinery Group, feels that insurance is still very urban-centric but now that marketers have reached a saturation stage, they are beginning to see opportunities in villages. Significantly, only 8-10 per cent of rural households are covered by insurance, the rest making for a potential target. But both are seeking safer savings avenues beyond post offices and banks for higher returns. The post office offers small savings schemes with interest rates from 3.5 to 7 per cent, lower than the rates offered on bank fixed deposits.

Banks too have their set of problems due to low penetration. It takes a villager three hours to get to the bank, queue up and deposit just Rs 100, according to the National Council of Applied Economic Research. While there is

demand, the lack of penetration in financial services is making it difficult to distribute insurance policies that are offered by banks through tie-ups with insurers. But today, with companies like Max coming to the doorstep of the farmer, things have become convenient for villagers.

Assocham President Sajjan Jindal estimates the overall rural market for insurance will be worth Rs 7,800 crore by 2015, up from the current Rs 1,950 crore. "In rural India, around 200 million people who earn well from professions beyond traditional farming are looking for alternative means to park their savings. Insurance companies are looking at a Rs 1,000-crore addition to their net worth," he says.

The rural rush has brought with it its own set of innovations. Companies like Tata AIG, Kotak and Bajaj are going out of their way to ensure that premiums are small and payable over feasible time periods. According to Vijay Athreye, head, micro insurance initiatives, Tata



EMPOWERED: Villagers in West Bengal flock to a TATA AIG camp (left); a farmer in Bhopal gets a Humrakshak certificate

AIG, there is not much room for manoeuvre in a market where the premium is as low as Rs 100-120 per month. It could sometimes dip to Rs 60. So products with a premium of Rs 150 to Rs 300 offering coverage of between Rs 15,000 and Rs 20,000 are the most workable.

Kotak, for instance, has fashioned its Gramin Bima Yojana like a fixed deposit with a one-time premium of either Rs 200 and or a maximum of Rs 20,000. The money grows 1.5 times on maturity. So if a villager wants to invest in a plan that gives him high returns as well as a life insurance cover, he can opt to invest Rs 5,000 in a Kotak Gramin Bima Yojana for 15 years. He gets back Rs 7,500 as guaranteed maturity benefit at the end of the term. Tata AIG's Ayushman Yojana is

VILLAGE WEALTH

■ India's Rs 50,000 crore insurance industry is looking to add Rs 1,000 crore to its net worth from the countryside

■ The rural insurance market is expected to touch Rs 7,800 crore by 2015 from the current Rs 1,950 crore

■ There are 1.56 crore rural households across 6.38 lakh villages in India, of which only 8-10 per cent are covered by insurance

■ In rural India, around 20 crore people, who are earning well from professions beyond traditional farming, are looking for alternative ways to park their earnings